Credit memo: PROCTER & GAMBLE Co

Fiscal year ending 2026-06-30 · generated 2026-11-04T19:48:34Z · writer template

ANALYST REVIEW REQUIRED — decision support only; not a rating, not a probability of default, not a lending decision.

Executive view

PROCTER & GAMBLE Co is assessed for a USD 100m 5-year floating-rate bullet facility at an all-in coupon of 6.0%, to fund capital expenditure.[1–6] This memo summarises the financial profile for the fiscal year ending 2026-06-30 from SEC 10-K XBRL filings, a neural stress screen and mechanical stress tests.[7–8] It supports analyst judgement and makes no lending decision.

Business and financial profile

Revenue was USD 87,032m, up 3.3% year on year.[9–10] EBITDA, approximated as operating income plus depreciation and amortization, was USD 22,908m, a margin of 26.3%, against 27.6% a year earlier.[11–13] Operating cash flow of USD 19,556m covered capital expenditure of USD 4,409m, leaving simple free cash flow of USD 15,147m.[14–16] Gross debt stood at USD 34,136m and cash at USD 9,942m, for net debt of USD 24,194m.[17–19] Net debt was 1.06x EBITDA and EBITDA covered interest 26.12x.[20–21]

Credit strengths

Leverage is moderate at 1.06x net debt to EBITDA.[20] Interest is comfortably covered at 26.12x EBITDA.[21] The business generated positive free cash flow of USD 15,147m.[16]

Key risks

The current ratio of 0.68x is below one, so current liabilities exceed current assets.[22]

Risk model

The neural stress screen puts the chance that next year's accounts show financial stress at 1.0%, in the low screening band.[23–24] The largest contributions came from operating cash flow to assets (lowering the score) and company size (lowering the score).[25–26] On held-out years the model reached a precision-recall AUC of 0.805, against 0.825 for an XGBoost benchmark.[27–28] The screen is an indicator of accounting stress, not of default, and is one input to analyst judgement.

Proposed facility and stress cases

After the facility, gross debt rises to USD 34,236m and net debt to EBITDA moves to 1.06x, with EBITDA cover of 25.94x.[29–31] In the downside case (EBITDA -20%, rates +200 bp) net leverage reaches 1.33x and cover falls to 20.71x.[32–34] In the severe case (EBITDA -35%, rates +400 bp) net leverage reaches 1.63x and cover 16.79x.[35–37] Against a maximum net leverage of 3.50x, headroom is 2.44x in the base case and 2.17x in the downside.[38–40] Against a minimum EBITDA cover of 3.00x, headroom is 22.94x in the base case and 17.71x in the downside.[41–43] Proceeds spent on capex or acquisitions are assumed to add no EBITDA.

Credit considerations and diligence questions

Is a maximum net leverage covenant of 3.50x appropriate given the downside headroom?[38] How much of the existing debt is floating-rate, and is it hedged? Does operating income include one-off items that an adjusted EBITDA would remove?

Evidence appendix

#	Item	Value	Source
1	Borrower	PROCTER & GAMBLE Co	SEC XBRL companyfacts
2	Facility amount	USD 100m	Analyst input in the loan lab
3	Tenor	5-year	Analyst input in the loan lab
4	Structure	floating-rate bullet	Analyst input in the loan lab
5	All-in coupon	6.0%	Analyst input in the loan lab
6	Use of proceeds	capital expenditure	Analyst input in the loan lab
7	Fiscal year end	2026-06-30	SEC XBRL companyfacts
8	Data source	SEC 10-K XBRL filings	SEC XBRL companyfacts
9	Revenue (2026)	USD 87,032m	10-K XBRL Revenues, accession 0000080424-26-000103, filed 2026-08-04
10	Size of revenue change	3.3%	Formula |revenue_t / revenue_t-1 - 1| (v1.0.0)
11	EBITDA (approx.) (2026)	USD 22,908m	Formula operating_income + depreciation_amortization (v1.0.0)
12	EBITDA margin (2026)	26.3%	Formula ebitda / revenue (v1.0.0)
13	EBITDA margin (2025)	27.6%	Formula ebitda / revenue (v1.0.0)
14	Operating cash flow (2026)	USD 19,556m	10-K XBRL NetCashProvidedByUsedInOperatingActivities, accession 0000080424-26-000103, filed 2026-08-04
15	Capital expenditures (2026)	USD 4,409m	10-K XBRL PaymentsToAcquirePropertyPlantAndEquipment, accession 0000080424-26-000103, filed 2026-08-04
16	Free cash flow (CFO – capex) (2026)	USD 15,147m	Formula cfo - capex (v1.0.0)
17	Gross debt (2026)	USD 34,136m	Formula short_term_borrowings + current_maturities_ltd + long_term_debt_noncurrent (v1.0.0)
18	Cash and equivalents (2026)	USD 9,942m	10-K XBRL CashCashEquivalentsRestrictedCashAndRestrictedCashEquivalents, accession 0000080424-26-000103, filed 2026-08-04
19	Net debt (2026)	USD 24,194m	Formula gross_debt - unrestricted_cash (v1.0.0)
20	Net debt / EBITDA (2026)	1.06x	Formula net_debt / ebitda (v1.0.0)
21	EBITDA / interest (2026)	26.12x	Formula ebitda / interest_expense (v1.0.0)
22	Current ratio (2026)	0.68x	Formula current_assets / current_liabilities (v1.0.0)
23	Next-FY accounting-stress probability	1.0%	Neural stress model stress_mlp_v1; inputs as of 2026-08-04
24	Screening band	low	Neural stress model stress_mlp_v1; inputs as of 2026-08-04
25	Model driver 1	operating cash flow to assets (lowering the score)	Neural stress model stress_mlp_v1; inputs as of n/a
26	Model driver 2	company size (lowering the score)	Neural stress model stress_mlp_v1; inputs as of n/a
27	Model held-out PR-AUC	0.805	Frozen test-window evaluation (model card)
28	XGBoost benchmark PR-AUC	0.825	Frozen test-window evaluation (model card)
29	Base case gross debt	USD 34,236m	Loan engine v1.0.0, base case
30	Base case net debt / EBITDA	1.06x	Loan engine v1.0.0, base case
31	Base case EBITDA / interest	25.94x	Loan engine v1.0.0, base case
32	Downside case assumptions	EBITDA -20%, rates +200 bp	Loan engine v1.0.0, downside case

#	Item	Value	Source
33	Downside case net debt / EBITDA	1.33x	Loan engine v1.0.0, downside case
34	Downside case EBITDA / interest	20.71x	Loan engine v1.0.0, downside case
35	Severe case assumptions	EBITDA -35%, rates +400 bp	Loan engine v1.0.0, severe case
36	Severe case net debt / EBITDA	1.63x	Loan engine v1.0.0, severe case
37	Severe case EBITDA / interest	16.79x	Loan engine v1.0.0, severe case
38	Covenant: maximum net leverage	3.50x	Analyst input in the loan lab
39	Base case headroom (max net leverage)	2.44x	Loan engine v1.0.0, base case
40	Downside case headroom (max net leverage)	2.17x	Loan engine v1.0.0, downside case
41	Covenant: minimum EBITDA cover	3.00x	Analyst input in the loan lab
42	Base case headroom (min ebitda interest cover)	22.94x	Loan engine v1.0.0, base case
43	Downside case headroom (min ebitda interest cover)	17.71x	Loan engine v1.0.0, downside case

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